

TRADITIONAL MASS PRODUCTION VS. CONTINUOUS PROCESS FLOW



TRADITIONAL MASS PRODUCTION THINKING – BENEFITS

AIGPE

ORGANIZES SIMILAR MACHINES & SIMILARLY SKILLED PEOPLE

WILL SET UP DEPARTMENTS OF ENGINEERING, ACCOUNTING, PAYROLL, PROCUREMENT, MANUFACTURING, ETC

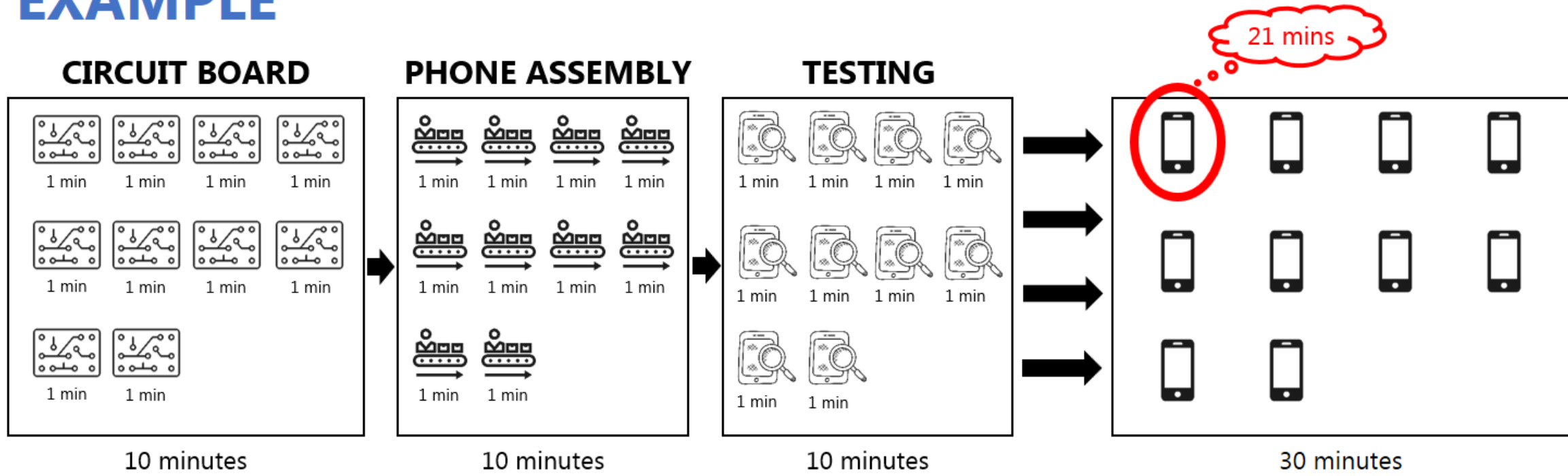
BENEFITS

**ECONOMIES OF
SCALE**

**FLEXIBILITY IN
SCHEDULING**

**HOW OFTEN SHOULD YOU MOVE MATERIAL OR INFORMATION
BETWEEN DEPARTMENTS?**

EXAMPLE



ONE-PIECE FLOW CELL

= just **3 minutes** instead of 21 to make the first smartphone

= just 12 minutes to make 10 smartphones, while the batch flow process takes 30 minutes

Operators were not allowed to build up inventory

Flow has **eliminated overproduction and inventory**